

Sample Auto Insurance Policy

Policy Overview

Policy Number: AUTO-2025-001234
Policy Holder: [Insured Name]
Policy Period: January 1, 2025 to December 31, 2025
Insurer: Sample Insurance Company S.A. de C.V.
Vehicle: 2022 Volkswagen Jetta, VIN: WVWZZZ16ZAM123456
Sum Insured: MXN \$420,000 (agreed value)

Coverage A - Collision and Total Loss

Covers damage to the insured vehicle resulting from collision with another vehicle, object, or rollover. In the event of total loss (repair cost exceeds 75% of the agreed value), the insurer will pay the full agreed value of MXN \$420,000 minus the applicable deductible.

Deductible: 3% of agreed value (MXN \$12,600) per occurrence.
Coverage limit: Agreed value MXN \$420,000.

Coverage B - Third-Party Liability

Covers bodily injury and property damage caused to third parties as a result of the operation of the insured vehicle.

Bodily Injury limit: MXN \$3,000,000 per occurrence.
Property Damage limit: MXN \$600,000 per occurrence.
Legal defense included up to MXN \$250,000.
Coverage applies within Mexico and the United States border zone (100km).

Coverage C - Medical Payments (Occupants)

Covers reasonable and necessary medical expenses for the driver and up to 4 passengers injured in a covered accident, regardless of fault.

Limit: MXN \$100,000 per person.
Includes: hospital expenses, ambulance, surgery, rehabilitation up to 12 months.

Coverage D - Theft and Vandalism

Total theft: pays agreed value MXN \$420,000 minus 10% deductible (MXN \$42,000).
Partial theft: covers stolen components (wheels, radio, catalytic converter) up to MXN \$50,000 per occurrence with 5% deductible.
Vandalism: covers intentional damage by third parties up to MXN \$30,000 with mandatory police report filed within 24 hours.

Coverage E - Roadside Assistance

24/7 roadside assistance included at no additional cost:

- Towing: up to 50 km from breakdown location
- Tire change and battery jump-start
- Fuel delivery (cost of fuel charged to insured)
- Vehicle lockout service
- Hotel accommodation up to MXN \$2,000/night if breakdown occurs >100km from home

Exclusions

This policy does NOT cover:

1. Damage caused while the vehicle is being operated by an unlicensed driver.
2. Damage caused while the driver has a blood alcohol level above 0.08%.
3. Mechanical breakdown, wear and tear, or tire blowouts unrelated to an accident.
4. Intentional damage caused by the insured.
5. Racing or speed tests on any track or road.
6. Damage occurring outside of Mexico unless Coverage B is explicitly extended.
7. Loss due to nuclear, biological, or chemical events.

Claims Procedure

To file a claim:

1. Report the incident within 72 hours of occurrence.
2. Do not admit liability or sign any document without insurer authorization.
3. File a police report for theft, vandalism, or third-party incidents.
4. Submit: completed claim form, police report (if applicable), photos of damage, driver license of all parties, vehicle registration, repair estimate.
5. Claims are adjudicated within 5 business days of receiving complete documentation.
6. Payment issued within 10 business days of claim approval.

Premium and Payment

Annual premium: MXN \$28,500 (including 16% VAT)

Payment options: annual, semi-annual (+5% surcharge), or monthly (+12% surcharge)

Grace period: 30 days from due date before policy lapses.

Late payment: policy suspended after 30-day grace period. Reinstatement requires payment of all outstanding premiums plus a 2% reinstatement fee.